

Contestant Number: _____

Time: _____

Rank: _____



ADVANCED COLLEGE ACCOUNTING (115) **STATE 2021**

CONCEPT KNOWLEDGE:

Multiple Choice (15 @ 2 points each)	_____ (30 points)
True/False (10 @ 1 point each)	_____ (10 points)

APPLICATION KNOWLEDGE:

Short Answer	_____ (42 points)
Job 1: Journal Entries	_____ (112 points)
Job 2: Bank Reconciliation	_____ (52 points)
Job 3: Balance Sheet	_____ (120 points)

<i>TOTAL POINTS</i>	_____ (366 points)
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Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application of knowledge.

Your name and/or school name should ***not*** appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

MULTIPLE CHOICE

Identify the letter of the choice that best completes the statement or answers the question.

1. After stock dividends are distributed, the shareholder's equity section dollar amount in the balance sheet will be _____.
 - A. reduced
 - B. increased
 - C. the same
 - D. off balance
2. In a long-term construction project if there is a total project loss indicated, it is recognized _____.
 - A. the next year if it happens
 - B. prorated back to the first year of the project
 - C. at the end of the project
 - D. in the year it is indicated
3. Depreciation is *no* longer recorded on an asset when the depreciable cost is _____.
 - A. reached
 - B. going to happen the next year
 - C. surpassed
 - D. twice the salvage value
4. A bond selling for more than face value is said to be selling at (a/an) _____.
 - A. discount
 - B. par value
 - C. appreciable amount
 - D. premium
5. While completing a bank reconciliation, when an error occurs on the bank statement that debits your account for more than the true amount, the _____.
 - A. difference is added to the bank statement
 - B. difference is subtracted to the bank statement
 - C. difference is added to the general ledger
 - D. difference is subtracted from the general ledger

6. When using the Net Method for cash discounts, the original purchase will be recorded at _____.
A. invoice price
B. invoice price less the discount
C. list price
D. list price less the discount
7. If the allowance for doubtful account shows a credit midway through the accounting period, one of the possible reasons is _____.
A. an account receivable has been written off
B. the allowance account has been increased due to a new estimate
C. an account receivable has been reinstated
D. both B and C are possible
8. When factoring receivables and the company has no further obligation, the term is referred to as factored _____.
A. with recourse
B. having minimal recourse
C. without recourse
D. having maximum recourse
9. The formula for calculating gross profit percentage is _____.
A. gross sales divided by accounts receivable
B. gross sales divided by gross profit
C. net sales divided by cost of goods sold
D. gross profit divided by net sales
10. FOB Destination means the _____.
A. buyer has to pay for shipping and title transfers when received by buyer
B. buyer has to pay for shipping and title transfers when shipped
C. seller has to pay for shipping and title transfers when received by buyer
D. seller has to pay for shipping the title transfers when shipped

11. If a corporation has 100,000 shares of \$5 par common stock and 8,000 shares of 10%, \$100 par preferred stock outstanding, the portion of \$22,000 allocated for total dividends that the preferred owners will get is _____.
- A. \$22,000
 - B. \$10,000
 - C. \$80,000
 - D. none of the above
12. When purchasing a new piece of machinery, which of the following would *not* be included?
- A. Purchase price
 - B. Shipping paid
 - C. Damage in transit
 - D. Platform built to put the machine on
13. If a company paid \$2,000,000 for land valued at \$1,300,000, a building valued at \$800,000 and equipment valued at \$400,000, what value would you place on the land?
- A. \$ 1,040,000
 - B. \$ 800,000
 - C. \$ 880,000
 - D. \$ 1,30,000
14. A company financing a self-constructed building secured a 5%, \$1,300,00 long-term loan and used \$750,000 of it for the construction project. The portion used for construction was taken out on May 1, 2020. The amount of interest capitalized for the project would be _____.
- A. \$750,000
 - B. \$775,000
 - C. \$25,000
 - D. \$37,500
15. Using straight-line depreciation for an 8-year piece of equipment would yield a rate of _____.
- A. 25%
 - B. 12.5%
 - C. 20%
 - D. 15%

True (A)/False (B): (10 points, 1 point each)

Identify the letter of the choice that best completes the statement or answers the question.

1. The normal balance of a contra liability account is a debit.
A. True
B. False
2. Adjusting entries are usually completed at the end of the accounting period.
A. True
B. False
3. Liability accounts are an intricate part of the Income Statement.
A. True
B. False
4. Dividends paid are part of the investing section of the cash flow statement.
A. True
B. False
5. If a company's intention is to hold on to 30% investment of another company's stock, the investor would use the equity method of accounting.
A. True
B. False
6. The allowance for doubtful accounts normal balance is a credit and will never have a debit balance.
A. True
B. False
7. Regarding a bond issue: If the market rate is lower than the stated rate, the bond will sell for a discount.
A. True
B. False

8. If a company writes off obsolete inventory, the expenditure will go in operating expenses of the balance sheet.
 - A. True
 - B. False

9. If nothing is stated in a partnership agreement, the income/loss of the partnership will be shared according to the percentage of each partner's equity.
 - A. True
 - B. False

10. During times of falling prices, the LIFO method will show a lower cost of goods sold than the FIFO method.
 - A. True
 - B. False

Short Answer Questions

1. ADJUSTING ENTRIES

Prepare the adjusting entries for December 31 from the data below.

- A. Beginning Supplies were \$12,857. An end-of-the year inventory count revealed \$13,456 of supplies were left over, while the purchases of \$64,655 were all expensed throughout the year.
- B. A perpetual inventory system is used. Beginning inventory is \$89,224 and ending inventory is \$105,201 per the general ledger. Inventory purchases were \$11,644,558, beginning and ending Accounts Payable are \$162,500 and \$172,400 respectively. Prepare the final inventory adjusting entry for inventory at the end of the year, the year-end count had a value of \$97,333.
- C. Equipment depreciation is on a straight-line basis. The equipment being depreciated has a book value of \$1,654,000 and accumulated depreciation of 452,000. No equipment was purchased or sold during the year and the depreciation rate is 12.5%.
- D. Prepaid Insurance has a balance of \$112,050 at the beginning of the year; all the policies were renewed on January 1 and are for 1-1/2 years.

General Journal

Page 32

Letter	Description	Debit	Credit
A			
B			
C			
D			

2. STOCK ENTRIES

Mustad Corporation is authorized to issue 5,000,000 shares of common stock with a \$15 par value.

- A. Mustad sold 550,000 of its common shares for \$32.50.
- B. Mustad declared \$1.34 per share dividend to be paid at a future date.
- C. Mustad paid the dividend declared in B.

General Journal

Page 32

Letter	Description	Debit	Credit
A			
B			
C			

3. ACCOUNTS RECEIVABLE

The following information is found in the Balance Sheet and Income Statement of Marz Company. Prepare the following journal entries from this information. Marz uses the percentage of receivables method (4% of year end A/R) for their bad debt estimation. *Round to the nearest dollar.*

<u>Balance Sheet/Income Statement</u>	<u>Beg. Balance</u>	<u>,End Balance</u>
Accounts Receivable	\$78,450	\$84,720
Allowance for Doubtful Accounts	\$3,138	(\$ 256) Debit
Sales (net)		\$1,344,667
Bad Debt Expense		\$0

- The year-end journal entry for the estimate of bad debts for the year
- The year-end journal entry for the estimate of bad debts for the year assuming a previously written off account for \$600 would have been reinstated.
- The year-end journal entry for the estimate of bad debts for the year assuming the net sales method was used at a rate of 1.25%

General Journal

Page 32

Letter	Description	Debit	Credit
A			
B			
C			

Job #1: Journal Entries (112 total points)

Record the following selected transactions in the journal on the next page for the Billie Bob (BB) Company. **Use the transaction letter in the date column.** The company uses the Gross Method of recording sales/purchases and uses a **periodic inventory system**.

- a. On the first day of the year, sold \$1,000,000 of 20-year 5% bonds for \$ 784,295.
- b. On Feb. 6, billed a customer on account for \$120,000 of merchandise with terms 2/10 net 30, FOB Destination. A shipping charge of \$1,210 paid in cash by BB and added to the customer's invoice. Cost of goods is \$38,900.
- c. Received payment of the invoice in b. The payment is received on Feb. 11.
- d. Wrote off an account receivable of \$1,280 which was deemed uncollectible. The company uses the Allowance Method.
- e. Sold merchandise of \$40,900 on account and accepted an 8% note for payment due in 60 days. Cost of goods is \$14,200.
- f. Purchased \$ 1,005,000 worth of merchandise on account. The invoice was dated July 15 with terms FOB Shipping Point and net 30. A shipping charge of \$ 610 was paid in cash.
- g. On September 30, BB purchased a patent for \$400,000 cash. This patent has a remaining legal life of eight years, but BB estimates a useful life of four years.
- h. Record the straight-line amortization of the patent at year end, 12/31/20.
- i. At the end of the year, a physical inventory of merchandise was taken. The actual count reflects an inventory of \$ 1,019,700. The balance in the Merchandise Inventory account is \$1,020,490. Make the necessary adjusting entry for the periodic inventory system at 12/31/20.
- j. The beginning balance of the allowance for doubtful accounts is \$9,600, the company desires a balance of \$10,500 for the next year; record the adjusting entry.

General Journal

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[illegible]

Job #2: Bank Reconciliation: (52 points)

Chi-Bears Company has the following information regarding their bank reconciliation for May 2021. A note receivable was collected by the bank for \$3,000 + interest, see the note below. There was one check from a customer that was returned as a NSF check and bank fees charged are below. There are no outstanding checks or deposits at the end of May.

Bank Statement:

Beginning Balance: \$32,350.74
Deposits: \$16,381.43
Withdrawals: \$10,878.08
Ending Balance: ?

Deposit Amount	Dated	Deposit Amount	Dated
\$1,645.58	May 6	\$4,996.38	May 13
\$3,889.44	May 20	\$2,775.03	May 27

Additional Addition: Note Collection: \$3,000 note + 5 months interest at 6%

Check #	Withdrawal Amount	Check #	Withdrawal Amount
2518	48.00	2526	2,855.33
2520	162.16	2527	132.80
2523	3,654.20	2528	234.57
2524	319.99	2529	197.24
2525	2,533.02	2530	347.77

Additional Withdrawal: NSF check for \$369.00

Bank Checking Fees: \$24.00

General Ledger Cash Account Detail:

Beginning Balance: \$32,350.74
Debits to Cash: \$13,306.43
Credits to Cash: \$10,485.08

Directions: Complete a Bank Reconciliation for May 2021, as well as the adjusting journal entries for the GL Cash account.

Continue to next page...

Chi-Bears Company		
Bank Reconciliation		
May 31, 2021		
Bank Statement		
		\$
		\$
General Ledger Cash		
BEGINNING BALANCE		\$
ADDITIONS:		
SUBTRACTIONS:		
ENDING BALANCE		\$

JOURNAL ENTRIES

Account	DR	CR
1.		
2.		

JOB #3 (120 points)

Complete the classified balance sheet for Peterson Corporation for the year ended December 31, 2021. This is the first year of operations for Peterson. Below is selected data to help in the process.

General Ledger balances after adjusting entries on December 31, 2021.

Cash and cash equivalents	\$742,200
Accounts Receivable (net)	89,450
Accounts Payable	114,560
Notes Payable (Long Term)	350,000
Machinery	1,550,000
Acc. Dep. - Machinery	350,000
Buildings	1,000,000
Acc. Dep. - Buildings	60,000
Land	75,000
Common Stock	2,500,000
Retained Earnings	?

PETERSON CORPORATION

BALANCE SHEET

DECEMBER 31, 2021[illegible]